

**Policy Paper, Prompt 7: On Property Rights and Economic Growth in Developing
Countries**

Diego Luca Gonzalez Gauss

Student, Harvard University

GENED 1119: Law, Politics, and Trade Policy: Lessons from East Asia

March 15, 2024

Diego Luca Gonzalez Gauss
March 15, 2024
GENED 1119 Policy Evaluation Paper

The consensus view of economists belonging to the neoclassical, and less absolutely the New Institutional Economics (NIE), schools regarding property rights is that formal development and enforcement of individual property rights is crucial for stimulating the private investment decisions that drive economic growth (Sarel, Ginsberg 3). NIE forefather Douglass North argues institutional support of property gives a mechanism for easy investment and market exchange, allowing for economic development (North). So on paper, China's rise has thrown a wrench into the existing consensus regarding property rights among these economic perspectives. During its rise spurred by Deng Xiaoping's reform and opening up (*gaige kaifang*), China's land property was dually structured between fully state-owned land and sparse collective rural ownership, with individual property rights never codified (Putterman). Prior to *gaige kaifang*, Mao Zedong's Great Leap Forward gave land ownership to the commune. Since 2004, the Chinese Constitution has codified land property rights, but allows for expropriation in the public interest without adequate compensation (Ginsburg 14). Then how did China achieve its meteoric economic rise, when by the neoclassical and NIE lens its absence of solid individual property rights should dampen its economic prospects? China's development calls into question the conventional role of property rights and its codification when hoping to stimulate economic growth in developing countries. By analyzing China's economic output, investment, and market exchange - the criterion North claims are facilitated by property rights - relative to its land property law, it is clear that by building political institutions which recognize individuals can accrue property, a setting of private investment and exchange for economic growth can be secured in developing countries without enforcing individual property rights.

Diego Luca Gonzalez Gauss
March 15, 2024
GENED 1119 Policy Evaluation Paper

Briefing the restructuring of China's land property law during its economic surge demonstrates China's persisting lack of clear land property rights (Xun et al. 12-15). By articles 9-10 of the 1982 Constitution and the Land Administration Laws, natural resources and urban land are state-owned while suburban and rural land are collectively-owned without proof of ownership. Before 1988, commercializing land rights was banned altogether (Ho 402-403, 421). To integrate privatization into the land-ownership system while preserving core Chinese political doctrine, the state devised a "deliberate institutional ambiguity" which respects the concept of land property, while avoiding discussion of ownership. In other words, land ownership was unclear and legally indeterminate, and so was unreliably enforced. Some lessees even falsely believed they owned the land they worked, rather than the collective (Xun et al., Ho 397-406).

Chinese policy regarding rural agricultural land ownership captures how the state created a market and investment setting incentivizing economic growth without concrete individual land property rights. The Household Contract Responsibility System adopted during *gaige kaifang* upheaved Mao's collective agriculture system, shifting agricultural production units from thousands to a few dozen lessee families. Lessees could freely farm a portion of land for cash crops and participate in local markets after fulfilling sales to the state (Ho, Perkins 127-128). Within the Contract system there was more tumult: by 1997, 80 percent of observation villages had readjusted leased plots, and 66 percent had twice or more (Ho 397). In short, rural land ownership policy has been especially erratic - depriving farmers of land security - and never wholly supported villagers' individual property rights. And yet, in the 1979-1984 period following the Contract system's implementation China saw a 52.5 percent rise in agricultural output, while the amount of irrigated land stayed constant. Approximately half of this rise in

Diego Luca Gonzalez Gauss
March 15, 2024
GENED 1119 Policy Evaluation Paper

output is attributed to growth in total factor productivity (TFP). This rise in TFP is driven by the economic incentives that a setting of easy investment and market exchange can stimulate, as well as technological innovation during the period (Perkins 127-128). Concurrently, the Contract system was “found to be credible” by rural China (Ho 420).

How Chinese farmland structuring brought about the same economic incentives that a setting of easy investment and market exchange creates, without having concrete property rights, is most easily understood by Diermeyer et al's "fundamental question of property rights: do economic and political actors believe that property rights are credible?" (Diermeyer et al. 20; Ho) Under the Contract system, all major economic actors respect, if not the rights, then some dominion of lessees over accrued property: lessees falsely believe they own their land or otherwise largely act as if they do; higher-level government, by their ambiguity regarding land ownership, entertains lessees' misperception; and the administrative village, who typically acts as the immediate lessor, tend towards loose oversight on lessees and 'their' land (Ho 406, Putterman, Xun et al.). Regionalized fiscal responsibility and cadre oversight actually drove local officials to protect property rights (Wang 95). In conjunction with the contraction of production units under this regime, this means lessees had a high degree of autonomy in farming land, and saw direct benefit from efficiently farming land. Then under the loosened conditions allowed for them by the Chinese state, lessees were incentivized to maximize the benefit they received from efficiently farming their land by interacting with local agricultural markets, and were able to invest in technology e.g. fertilizer raising the efficiency of their agricultural output. Lessees pounced on these incentives: local agricultural markets flourished, while production and use of chemical fertilizers rose from 8.84 to 17.4 million tons from 1978 to 1984 (Putterman, Perkins

Diego Luca Gonzalez Gauss
March 15, 2024
GENED 1119 Policy Evaluation Paper

128), driving agricultural TFP. Rural satisfaction with the Contract system signals the rewards lessees reaped, with an 149.5 percent rise in rural net income from 1979 to 1984 (Perkins 127).

Another instance where this assumption of individual land autonomy, without having secure property rights, allows for economic incentives is the land usage for non- state-owned enterprises (SOEs), particularly township and village enterprises (TVEs) and collective-owned enterprises (COEs). These non-individual enterprises were, in state thought, more closely related to a collectivist economic plan and so more consonant with Chinese political doctrine than individual business. In turn, they experienced slackened bureaucratic “red tape”, while still easily interacting with local business and sourcing foreign investment (Putterman 1056). At the same time, underpinned by assumptions of land ownership, the difference in perception of an enterprise’s property protection between SOEs and non-SOEs was insignificant (Wang 99). With relaxed local policy regarding land usage and redistribution beyond state agriculture quotas, businesses were given high autonomy to act in ownership’s self-interest (Wang, Xun et al.).

With loosened arbitration, enterprises freely interacted within the setting of easy market exchange and investment (both domestic and foreign) provided to them, which North describes as being conducive to economic growth. As individuals benefited from the success of the businesses they helped operate, their enterprises inherited the same economic incentives driving economic growth from individual decision-making in the case of lessees and farmland. Simply, while enterprises were largely non-individual, they were guided by the same incentives that individuals had. From these economically stimulating incentives, TFP of both TVEs and COEs grew at two to three times the rate of SOEs in the period of land property law reformation. The share of Chinese industrial output by TVEs and COEs rose from 22 percent in 1978, to 38.1

Diego Luca Gonzalez Gauss
March 15, 2024
GENED 1119 Policy Evaluation Paper

percent by 1992. The relative stagnancy of SOEs, both in productive efficiency and total output, indicates other Chinese economic policy was less effective at stimulating business than simply leveraging the incentives non-SOE businesses inherit due to land autonomy (Xun et. al, Putterman 1049-1055).

The cases of rural farmland and land usage for non-SOEs both demonstrate that a setting of easy investment and market exchange, inducing incentives for economic growth, can be created from institutions that allow individual property without having secure property rights. This setting was achieved by major actors assuming individuals have autonomy over their land, which implied similar assumptions regarding non-SOE enterprises. In developing property law, it is important to note that China is an exception by many economic facets. Typically, a lack of property rights depresses foreign investment; China's massive population, rapid reform and urbanization, and looming entrance into the global market made them a unique prospect that foreign investors were willing to risk property security for (Chen, Chung and Kwon). For the average country without elevated foreign interest, to ensure incentives for economic growth given by a setting of investment and market exchange, the established policy trajectory is strictly enforcing property rights. The above case study of China mainly illustrates that an alternate agenda can be applicable if property rights are at odds with fundamental elements of government policy. Particularly, there is little reason for domestic investment or market interaction to suffer from how foreigners interpret property rights. Then in a regime where concrete property rights are inconsistent with social doctrine or political culture, they can be avoided e.g. by employing the same "institutional ambiguity" regarding land ownership used by the Chinese state, while preserving most individual economic incentives.

Diego Luca Gonzalez Gauss
 March 15, 2024
 GENED 1119 Policy Evaluation Paper

Bibliography

- Abramson, D. (2011). Transitional Property Rights and Local Developmental History in China. *Urban Studies*, 48(3), 553–568. <http://www.jstor.org/stable/43081758>
- Alesina, A., & Rodrik, D. (1994). Distributive Politics and Economic Growth. *The Quarterly Journal of Economics*, 109(2), 465–490. <https://doi.org/10.2307/2118470>
- Chen, C. (2011). The Development of China's FDI Laws and Policies after WTO Accession. In J. Golley & L. Song (Eds.), *Rising China: Global Challenges and Opportunities* (Vol. 2011, pp. 85–98). ANU Press. <http://www.jstor.org/stable/j.ctt24hbk1.13>
- Chung, K. H., Kwon, H. Y. (2024). Trust, institutional quality, and the protection of property rights: A cross-regional study of East Asia and Western countries. *Social Science Quarterly*, 105(2), 267-280. <https://onlinelibrary.wiley.com/doi/abs/10.1111/ssqu.13340>
- Diermeyer D., Ericson, J. M., Frye, T., Lewis, S. (1997). Credible commitment and property rights: the role of strategic interaction between political and economic actors. In *The Political Economy of Property Rights: Institutional Change and Credibility in the Reform of Centrally Planned Economies*. Cambridge University Press.
- Ginsburg, T. (2012). The China Problem Reconsidered: Property Rights and Economic Development in Northeast Asia. Working Paper, University of Chicago Law School. <https://www.edgs.northwestern.edu/documents/working-papers/the-china-problem-reconsidered.pdf>
- Ho, P. (2001). Who Owns China's Land? Policies, Property Rights and Deliberate Institutional Ambiguity. *The China Quarterly*, 166, 394–421. <http://www.jstor.org/stable/3451163>
- North, D. (1990). *Institutions, Institutional Change and Economic Performance*. Cambridge University Press.
- Perkins, Dwight (2013). *East Asian Development: Foundations and Strategies*. Harvard University Press.
- Putterman, L. (1995). The Role of Ownership and Property Rights in China's Economic Transition. *The China Quarterly*, 144, 1047–1064. <http://www.jstor.org/stable/655291>

Diego Luca Gonzalez Gauss
March 15, 2024
GENED 1119 Policy Evaluation Paper

Rithmire, M. E. (2015). *Land Bargains and Chinese Capitalism: The Politics of Property Rights under Reform*. Cambridge University Press.

Sarel, M. (1996). Growth in East Asia: What We Can and What We Cannot Infer. Economic Issues no. 1, International Monetary Fund. <https://www.imf.org/external/pubs/ft/issues1/>

Wang, Y (2015). *Tying the Autocrat's Hands: The Rise of the Rule of Law in China*. Cambridge University Press.

Xun, L., Xianxiang, X., & Zhigang, L. (2010). Land Property Rights and Urbanization in China. *China Review*, 10(1), 11–37. <http://www.jstor.org/stable/23462241>